Mindteck Middle East Limited SPC

Financial Statements and Independent Auditors' Report for the Year Ended 31 March 2015

Commercial registration number	49063-01
Directors	Harish Aravindakshan Nair Aveenth Gupta Pradeep Kizhakkethil Shankattu Shivarama Adiga
Registered office	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama Kingdom of Bahrain
Bank	HSBC Middle East Limited
Auditor	RSM Mezan PO Box 11816 Manama Kingdom of Bahrain

RSM Mezan
Audit · Tax · Advisory

RSM Mezan
3rd floor, Falcon Tower, Diplomatic Area
P.O. Box: 11816, Manama, Bahrain
T: +973 17537787 F: +973 17537757
E: info@rsm-mezan.com W: www.rsm-mezan.com

Independent auditors' report
To the Owner of Mindteck Middle East Limited SPC

Report on the financial statements

We have audited the accompanying financial statements of Mindteck Middle East Limited SPC (the "Company"), which comprise the statement of financial position as at 31 March 2015, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2015, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

RSM Mezan
Audit · Tax · Advisory

Independent auditors' report
To the Owner of Mindteck Middle East Limited SPC

(continued from previous page)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, we report that we have obtained all the information we considered necessary for the purpose of our audit; the Company has maintained proper books of account and the financial statements are in agreement therewith.

In connection with our audit, we report the following:

a) As per the Articles of Association of the Company the financial year end is 30 June, however, the Company has been preparing its financial statements as at 31 March each year.

Except for the above, we report that we have obtained all the information we considered necessary for the purpose of our audit; and the Company has maintained proper books of account and the financial statements are in agreement therewith; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, Decree Number 21 of 2001, or of its Memorandum or Articles of Association, which would materially affect its activities, or its financial position as at 31 March 2015.

RSM Mezan.

Registration number 152
6 May 2015
Manama, Kingdom of Bahrain

Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2015 (in Bahraini Dinars)

	Note	2015	2014
Assets			
Non-current assets			
Property, plant and equipment	5	446	388
		446	388
Current assets			
Trade and other receivables	6	134,716	96,568
Advances, deposits and prepayments	7	9,779	3,282
Bank balance	8	12,525	26,947
		157,020	126,797
Total assets		157,466	127,185
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	16,093	13,275
Accumulated losses		(5,542)	(30,906)
		60,551	32,369
Current liabilities			
Other payables	11	76,570	82,671
Accrued liabilities		20,345	12,145
		96,915	94,816
Total equity and liabilities		157,466	127,185

These financial statements were approved by the Board of Directors on 6 May 2015 and signed on its behalf by:

Harish Aravindakshan Nair
Director

K. Pradeep
Pradeep Kizhakkethil
Director

Notes 1 to 17 on pages 9 to 18 form an integral part of these financial statements.

Mindteck Middle East Limited SPC
Statement of profit or loss and other comprehensive income
for the year ended 31 March 2015

(in Bahraini Dinars)

	Note	2015	2014
Income			
Revenue		446,813	388,421
Direct costs		(350,893)	(297,206)
Gross profit		95,920	91,215
Gain on foreign exchange		213	133
		96,133	91,348
Expenses			
General and administrative expenses	12	67,951	62,962
Marketing and promotional expenses		-	1,021
		67,951	63,983
Profit for the year		28,182	27,365
Other comprehensive income		-	-
Total comprehensive income for the year		28,182	27,365

These financial statements were approved by the Board of Directors on 6 May 2015 and signed on its behalf by:

Harish Aravindakshan Nair
Director

Pradeep Kizhakkethil
Director

Notes 1 to 17 on pages 9 to 18 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2015 (in Bahraini Dinars)

	Share capital	Statutory reserve	Accumulated losses	Total
At 31 March 2013	50,000	10,538	(55,534)	5,004
Profit for the year	-	-	27,365	27,365
Transfer to statutory reserve	-	2,737	(2,737)	-
At 31 March 2014	50,000	13,275	(30,906)	32,369
Profit for the year	-	-	28,182	28,182
Transfer to statutory reserve	-	2,818	(2,818)	-
At 31 March 2015	50,000	16,093	(5,542)	60,551

	2015	2014
Cash flows from operating activities:		
Profit for the year	28,182	27,365
Adjustments for:		
Depreciation	262	945
Employee terminal benefits	-	1,594
Provision for doubtful receivables	63	-
Changes in operating assets and liabilities		
Trade and other receivables	(38,233)	(20,650)
Advances, deposits and prepayments	(6,497)	(1,316)
Other payables	(6,079)	(19,718)
Accrued liabilities	8,200	(7,283)
Cash used in operations	**(14,102)**	**(19,063)**
Employee terminal benefits paid	-	(3,844)
Net cash used in operating activities	**(14,102)**	**(22,907)**
Cash flows from investing activities:		
Purchase of property, plant and equipment	(320)	-
Net cash used in investing activities	**(320)**	-
Net decrease in cash and cash equivalents	**(14,422)**	**(22,907)**
Cash and cash equivalents at the beginning of the year	26,947	49,854
Cash and cash equivalents at the end of the year (note: 8)	**12,525**	**26,947**

1. Legal status and nature of business

Mindteck Middle East Limited SPC, (the "Company") is a single person company registered with Ministry of Industry and Commerce, Kingdom of Bahrain, under the commercial registration number 49063-01 dated 27 July 2002.

The principle activity of the Company is to provide (i) Consultancy services for computer system use and operation (ii) Computer software design, development and maintenance and (iii) Consultancy for computer hardware and software.

2. Basis of preparation

2.1. Statement of compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards ('IFRS'), being standards and interpretations issued by the International Accounting Standards Board, in force at 31 December 2014, and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the statement of comprehensive income. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

The Company presents the statement of comprehensive income using the classification by function of expenses. The Company believes this method provides more useful information to the readers of the financial statements as it better reflects the way operations are run from a business point of view. The statement of financial position format is based on a current and non-current distinction.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention except for any modifications required by IFRSs referred to in the accounting policies given below. Historical cost is generally based on the fair value of the consideration given in exchange for assets. The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Company's accounting policies.

These financial statements are presented in Bahraini Dinars (BD) which is the functional currency of the Company.

2.3. Going concern

These financial statements are prepared on the basis that the Company is a going concern and will continue in operations for the foreseeable future and it has no intention or necessity to liquidate.

2.4. Application of new and revised pronouncements

For the preparation of these financial statements, the following new, revised or amended pronouncements are mandatory for the first time for the financial year beginning 1 January 2014 (the list does not include information about new or amended requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the Company).

- Amendments to IAS 32 titled Offsetting Financial Assets and Financial Liabilities (issued in December 2011) - The amendments, that are effective retrospectively, do not change the existing offsetting model for financial instruments but clarify the meaning of "currently has a legally enforceable right of set-off" and that some gross settlement systems may be considered equivalent to net settlement. As the Company does not have offsetting arrangements in place, there was no effect on its financial statements.

- Amendments to IAS 36 titled Recoverable Amount Disclosures for Non-Financial Assets (issued in May 2013) - The amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount based on fair value less costs of disposal is determined using a present value technique. The Company's financial statements reflect the new disclosure.

- Amendment to IFRS 13 (Annual Improvements to IFRSs 2010-2012 Cycle, issued in December 2013) - This amendment to the standard's basis for conclusions only clarifies that the ability to measure certain short-term receivables and payables on an undiscounted basis is retained.

2.5. New and revised pronouncements in issue but not yet effective

The Company has not applied the following new, revised or amended pronouncements that have been issued by the IASB but are not yet effective for the financial year beginning 1 January 2014 (the list does not include information about new requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the company's financial statements).

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective. The Company has assessed, where practicable, the potential impact of all these new standards, amendments and interpretations that will be effective in future periods.

- Amendment to IAS 16 and IAS 38 titled Clarification of Acceptable Methods of Depreciation and Amortisation (issued in May 2014) - The amendments add guidance and clarify that (i) the use of revenue-based methods to calculate the depreciation of an asset is not appropriate because revenue generated by an activity that includes the use of an asset generally reflects factors other than the consumption of the economic benefits embodied in the asset, and (ii) revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset; however, this presumption can be rebutted in certain limited circumstances. They are prospectively effective for annual periods beginning on or after 1 January 2016. The management does not anticipate any effect on the Company's financial statements.

- Amendment to IAS 16 and IAS 38 (Annual Improvements to IFRSs 2010-2012 Cycle, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how the gross carrying amount and the accumulated depreciation/amortisation are treated where an entity uses the revaluation model. The management does not anticipate any effect on the financial statements as the Company does not use the revaluation model.

- Amendments to IAS 19 titled Defined Benefit Plans: Employee Contributions (issued in November 2013) - The amendments, applicable retrospectively to annual periods beginning on or after 1 July 2014, clarify the requirements that relate to how contributions from employees or third parties that are linked to service should be attributed to periods of service. In particular, contributions that are independent of the number of years of service can be recognised as a reduction in the service cost in the period in which the related service is rendered (instead of attributing them to the periods of service). As the Company has no post-employment benefit plans requiring employees or third parties to meet some of the cost of the plan, the application of the amendments are not expected to have any effect on the financial statements.

- Amendment to IAS 24 (Annual Improvements to IFRSs 2010-2012 Cycle, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how payments to entities providing key management personnel services are to be disclosed. This is not expected to have any effect on the Company's financial statements.

- Amendment to IFRS 7 (Annual Improvements to IFRSs 2012-2014 Cycle, issued in September 2014) - The amendment, applicable to annual periods beginning on or after 1 January 2016, adds guidance to clarify whether a servicing contract is continuing involvement in a transferred asset. This is not expected to have an effect on the Company's financial statements.

- IFRS 9 Financial Instruments (issued in July 2014) - This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and derecognition.

    - IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.
    - For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.
    - For the impairment of financial assets, IFRS 9 introduces an "expected credit loss" model based on the concept of providing for expected losses at inception of a contract; it will no longer be necessary for there to be objective evidence of impairment before a credit loss is recognised.
    - For hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risk exposures.
    - The derecognition provisions are carried over almost unchanged from IAS 39.

The management anticipate that IFRS 9 will be adopted in the Company's financial statements when it becomes mandatory and that they do not anticipate any material effect on the Company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

- Amendment to IFRS 13 (Annual Improvements to IFRSs 2011-2013 Cycle, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies that the portfolio exception in IFRS 13 - allowing an entity to measure the fair value of a group of financial assets and financial liabilities on a net basis - applies to all contracts (including non-financial) within the scope of IAS 39 / IFRS 9. This is not expected to have an effect on the Company's financial statements.

- IFRS 15 Revenue from Contracts with Customers (issued in May 2014) - The new standard, effective for annual periods beginning on or after 1 January 2017, replaces IAS 11, IAS 18 and their interpretations (SIC-31 and IFRIC 13, 15 and 18). It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance (e.g. the point at which revenue is recognised, accounting for variable consideration, costs of fulfilling and obtaining a contract, etc.). The management anticipate that IFRS 15 will be adopted in the Company's financial statements when it becomes mandatory and that the application of the new standard might have a significant effect on amounts reported in respect of the Company's revenue. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

3. Significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

3.1. Property, plant and equipment

On initial recognition, items of property, plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of property, plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated so as to write off the cost of an asset, less its estimated residual value, over its useful economic life as follows:

Furniture and equipment	25%
Motor vehicle	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal.

Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of comprehensive income.

3.2. Trade and other receivables

Trade and other receivables are recognized initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

3.3. Cash and cash equivalents

Cash and cash equivalent comprises of bank balance.

3.4. Employee benefits and entitlements

3.4.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organization in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of comprehensive income in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The contract employees are not eligible for the leaving indemnity in accordance to their terms of contract. The Company pays the leaving indemnity as and when an employee leave the service, hence does not accrue for its liability in this respect on an annual basis.

3.4.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.5. Other payables

Other payables are recognized initially at the transaction price and subsequently measured at amortized cost using the effective interest method.

3.6. Related party transactions

Related parties comprise the owner, directors and such other entities over which the Company, its owner or its directors can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.7. Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the service rendered in the ordinary course of the company's activities. Revenue is shown net of rebates and discounts.

The company recognise revenue when the amount of revenue can be reliably measured; it is probable that future economic benefits will flow to the entity.

Revenue from services is recognized on basis of the terms of contract.

Other income is recognised on accrual basis unless the collection is in doubt.

3.8. Leases

Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of comprehensive income on a straight-line basis over the period of the lease.

4. Critical accounting judgements and key estimations

The preparation of financial statements in conformity with approved IFRSs requires use of certain critical accounting estimates, judgments and assumptions. These are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.
The following are the critical accounting estimates, judgments and assumptions used in preparing these financial statements:

4.1. Economic useful lives of property, plant and equipment

The Company reviews useful life and residual value of property plant and equipment on regular basis. Any change in estimates may affect the carrying amounts of the respective items of property, plant and equipment with a corresponding effect on the depreciation charge.

4.2. Provisions

Provisions are recognized when there are present, legal or constructive obligations as a result of past events, it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognized when intimated and reasonable certainty exists to settle the obligations.

4.3. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.4. Impairments

4.4.1. Impairment of financial assets

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

4.4.2. Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each financial position date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognized in the statement of comprehensive income. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Property, plant and equipment

	Furniture and equipment	Motor vehicle	Total
Cost:			
At 31 March 2014	3,157	6,000	9,157
Additions during the year	320	-	320
At 31 March 2015	**3,477**	**6,000**	**9,477**
Accumulated Depreciation:			
At 31 March 2014	2,975	5,794	8,769
Charge for the year	56	206	262
At 31 March 2015	**3,031**	**6,000**	**9,031**
Carrying amount:			
At 31 March 2014	182	206	388
At 31 March 2015	**446**	-	**446**

6. Trade and other receivables

	2015	2014
Trade receivables	150,784	117,155
Provision for doubtful receivables (note: 6.1)	(26,050)	(25,987)
	124,734	91,168
Unbilled revenue	9,982	5,400
	134,716	96,568

6.1. Provision for doubtful receivables

	2015	2014
Opening balance	25,987	25,987
Provision during the year	63	-
	26,050	25,987

7. Advances, deposits and prepayments

	2015	2014
Advance to employees	732	543
HSBC tender deposits	4,126	-
Prepayments	4,921	2,739
	9,779	3,282

8. Bank balance

	2015	2014
HSBC Middle East Limited	12,525	26,947
	12,525	26,947

9. Share capital

The share capital of the Company is BD 50,000 (2014: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

Under the provisions of the Bahrain Commercial Companies Law, an amount equivalent to 10% of the Company's net profit before appropriations is required to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year BD 2,818 has been transferred to such reserve out of current year's net profit before appropriations (2014: BD 2,737).

11. Other payables

	2015	2014
Other payables	5,333	2,401
Payable to related parties (note : 11.1)	71,237	80,270
	76,570	82,671

11.1. Payable to related parties

	Relationship	2015	2014
Mindteck India Limited	Parent company	795	9,828
Mindteck Inc, USA	Sister concern	70,442	70,442
		71,237	80,270

12. General and administrative expenses

	2015	2014
Employee costs (note: 12.1)	44,001	41,646
Rent	4,458	5,702
Provision for doubtful receivables	63	-
Travelling	8,839	9,351
Communication	1,884	2,026
Professional and legal charges	5,813	1,034
Bank charges	1,365	779
Office expenses	1,126	1,260
General expenses	140	219
Depreciation (note: 5)	262	945
	67,951	62,962

12.1. Employee cost

	2015	2014
Salary	33,560	31,004
Employee related cost	10,441	10,642
	44,001	41,646

13. Related party transactions

The Company is controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

13.1. Transactions with parent company

	2015	2014
Expenses incurred by parent company	(11,130)	(18,093)
Expenses incurred on behalf of the parent company	20,163	23,890
Sales for services	-	2,039

14. Contingencies and commitments

There were no material contingencies known as at the date of the statement of financial position.

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

	2015	2014
No later than 1 year	6,017	6,017
Later than 1 year and no later than 5 years	3,008	4,011
	9,025	10,028

The Company has availed Bank guarantees during the year as below:

	2015	2014
HSBC Bank guarantees	3,716	-
	3,716	-

15. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balance and trade and other receivables. Financial liabilities include trade and other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

15.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk. Credit risk on liquid funds is limited because the counter parties are banks with reasonably high credit ratings.

Maximum exposure to credit risk before other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2015	2014
Bank balance	12,525	26,947
Tender deposits	4,126	-
Trade and other receivables	160,766	122,555
	177,417	149,502

15.2. Foreign exchange risk

The risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company's transactions are either in Bahraini Dinars or United States Dollars, hence there is no significant foreign exchange risk.

15.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2015:

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years	Greater than 5 years
Assets					
Bank balance	12,525	12,525	-	-	-
Advances and deposits	4,858	3,060	1,798	-	-
Trade and other receivables	134,716	134,716	-	-	-
	152,099	150,301	1,798	-	-
Liabilities					
Other payables	76,570	76,570	-	-	-
Accrued liabilities	20,345	20,345	-	-	-
	96,915	96,915	-	-	-

2014:

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years	Greater than 5 years
Assets					
Bank balance	26,947	26,947	-	-	-
Advances	543	543	-	-	-
Trade and other receivables	96,568	96,568	-	-	-
	124,058	124,058	-	-	-
Liabilities					
Other payables	82,671	82,671	-	-	-
Accrued liabilities	12,145	12,145			
	94,816	94,816	-	-	-

15.4. Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

16. Rounding off

All the figures have been rounded off to the nearest Bahraini Dinar.

17. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison.